Britain dominated long-distance shipping to Australia in the 19th century. The relaxation of the English East India Company's charter in 1813 gave its vessels more incentive to come to Australia because of cargo appeal. Passengers became equally as important because convicts had to be sent on naval vessels to New South Wales before 1840. After this time, free emigrants began to use government assisted passages for travel.

British-owned vessels dominated steam services between Europe and Australia, which began regularly in 1852. Isambard Kingdom Brunel's SS Great Britain became a notable passenger vessel on the London–Melbourne route in the 1850s. By 1860, the Peninsular & Oriental Steam Company (P&O) dominated long-distance passenger business to Australia. Liner shipping conferences and agreements between steamship companies in Australian overseas trade existed from the 1880s, which were mainly under British control. Mergers and combinations of shipping companies over the next few decades usually favored British rather than Australian investors. By the end of the First World War, Lord Inchcape's leadership of merged companies including P&O gave Britain unrivaled power over Australian coastal, regional and intercontinental trades.

After the Second World War, major changes occurred in Australia's deployment of shipping. Vessels flourished under Australian ownership, especially the large ships that carried minerals, tankers and crude oil for large corporations. The major Australian owned company in the coastal trade was the Australian National Line. By the 1970s, containerization had become an important part of Australia's shipping industry with roll-on and roll-off cargoes revolutionizing the landscape of ports. By 1997, the largest carriers could lift over 6,000 containers with about 70,000 tons of freight. The growth of jet travel by air led to the decline of passenger liners but they were often redeployed into the mass business of cruising at sea. Specialized vessels including refrigerated fruit carriers and car carriers have also thrived at Australian ports since the 1970s.

External commerce has drawn Australia into a wider trading world that is essential for the economic livelihood of its citizens. The remoteness of the first European settlements made long-distance trade problematic: ships